



The **NRI Investment Guide**

An educational handbook for NRIs in the UAE,
the Gulf and the wider Middle East & MEA region
investing in India.

Educational information only. This guide does not contain investment advice, scheme recommendations or any suggested allocation, and is not a solicitation to buy, sell or hold any security or scheme.

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CONTENTS

Table of Contents

- 01 Why NRIs in the Gulf Look at India
- 02 Are You an NRI? Status, RNOR & Why It Matters
- 03 Banking Foundations: NRE, NRO & FCNR Accounts
- 04 Mutual Funds for NRIs — The Basics
- 05 Mutual Funds — Process, Repatriability & Taxation
- 06 Direct Equity: Stocks via the PIS Route
- 07 Real Estate: A Considered View for NRIs
- 08 Fixed Income: FCNR, NRE FDs, Bonds & SGBs
- 09 GIFT City & IFSC: A Gulf-Friendly Gateway
- 10 PMS & AIF — Understanding the HNI Toolkit
- 11 Insurance: Term, Health & Protection
- 12 Taxation for NRIs: DTAA, TDS & Capital Gains
- 13 Repatriation: Moving Money Out Cleanly
- 14 Estate Planning, Wills & Succession
- 15 Common Mistakes NRIs Make
- 16 A 90-Day NRI Awareness Checklist
- 17 About Money Compound
- Important Information & Disclaimer

How to read this guide. This is an educational handbook. It explains what each product is, why an NRI might consider it, how it can fit into an NRI's financial life and how it is broadly taxed. It does *not* tell you what to buy, in what proportion, or through which scheme. Any specific decision must be based on a proper risk-profiling conversation with a qualified professional.

Why NRIs in the Gulf Look at India

For an NRI working in the Gulf, India sits at the intersection of family, future and financial logic.

A large portion of India's overseas-resident population lives and works in the Gulf Co-operation Council region — the United Arab Emirates, Saudi Arabia, Qatar, Oman, Kuwait and Bahrain — and across the wider Middle East and MEA region. These NRIs typically earn in stable, mostly USD-pegged currencies (AED, SAR, QAR, OMR, KWD, BHD), in jurisdictions that often have no personal income tax or only limited personal taxation, and many continue to maintain strong family and financial ties to India.

This guide is written primarily for that audience. Whether you are a healthcare professional in Dubai, a business owner in Sharjah, a finance professional in Doha, an engineer in Muscat, a project manager in Riyadh or a banker in Manama, the building blocks discussed here apply broadly to your situation.

A note on NRIs in the United States, Canada and certain other jurisdictions

NRIs based in the United States, Canada and a few other jurisdictions face additional layers of complexity — including FATCA-related operational restrictions on certain Indian products, PFIC-style overseas reporting rules and other home-country obligations. The treatment in those cases is materially different, and goes beyond the scope of this guide. NRIs in such countries should seek qualified, jurisdiction-specific advice before making any investment decision in India.

What this guide covers

- How your residency status shapes the rules — from accounts to taxation to product eligibility.
- The banking architecture every NRI should understand: NRE, NRO and FCNR accounts.
- How major investment routes work for NRIs — mutual funds, direct equity, real estate, fixed income, GIFT City, PMS and AIFs — and how each one is broadly taxed.
- How DTAA, TDS and capital-gains rules apply when you live in a Gulf or MEA country.
- Repatriation, estate planning, common mistakes and a simple 90-day awareness checklist.

An important framing. Nothing in this guide is a recommendation to invest in any particular product, scheme, fund or asset, nor does it suggest any allocation. The right choice for you depends on a proper risk-profiling conversation that considers your goals, time horizons, income stability, family situation and overall financial picture. We strongly encourage you to have that conversation with a qualified professional.

Understanding the rules early gives you more, and better, options later.

Are You an NRI? Status, RNOR & Why It Matters

Your residency status under FEMA (which governs banking and investment) and under the Income Tax Act (which governs taxation) determines which accounts you can hold, which products you can use, and how you are taxed. These are two separate rule books, and they do not always agree.

FEMA status — what your bank looks at

Under FEMA, you are generally an NRI if you reside outside India for employment, business, or any indefinite stay. Intent matters. When you take up a job or set up a business in a Gulf country — Dubai, Riyadh, Doha, Muscat, Kuwait City, Manama — your FEMA status changes and your resident bank accounts must be redesignated accordingly.

Tax residency — what the Indian tax department looks at

Indian tax residency is determined every financial year, largely by the number of days you are physically present in India. Broadly, you may be treated as a non-resident if you stay in India for fewer than the prescribed number of days in a year and also do not meet the additional multi-year presence tests.

A third category — **RNOR** (Resident but Not Ordinarily Resident) — is a transitional status, typically available for a limited number of years when you return to India after a long stay abroad. During the RNOR period, most foreign-source income is generally not taxed in India. For NRIs planning an eventual return from the Gulf, this is a window worth understanding well in advance.

Status	Foreign-source income taxable in India?	Indian-source income taxable in India?
Resident & Ordinarily Resident (ROR)	Generally, yes	Yes

RNOR (transitional)	Generally, no (with exceptions)	Yes
Non-Resident (NR)	Generally, no	Yes

The table is a simplified summary for general understanding. Actual tax treatment depends on the specific provisions in force, the nature and source of income, and any applicable tax treaty.

Confirm your status before you choose your products. Almost everything else follows from it.

Banking Foundations: NRE, NRO & FCNR Accounts

Three account types form the chassis of an NRI's financial life in India. It helps to understand each one before you make any investment decisions.

NRE — Non-Resident External

- Holds funds earned abroad (for example, salary remitted from the UAE), converted to Indian rupees.
- Interest and principal are generally freely repatriable.
- Interest is generally exempt from tax in India under current rules.
- Commonly used for routing foreign-earned savings into Indian investments that you wish to keep repatriable.

NRO — Non-Resident Ordinary

- Holds Indian-sourced income — rent, dividends, pension, sale proceeds of assets in India.
- Repatriation is permitted up to the limit notified by the RBI per financial year, subject to documentation.
- Interest is taxable in India and subject to TDS at the applicable rate.
- Commonly used for managing domestic inflows and meeting Indian expenses.

FCNR(B) — Foreign Currency Non-Resident (Bank)

- A fixed deposit held in a foreign currency (USD is the most common; some banks also offer GBP, EUR, JPY, AUD, CAD, SGD).
- The deposit itself is not exposed to rupee exchange-rate movement, which can be relevant when your earnings and expenses are in AED or another Gulf currency.
- Tenures are fixed-term; interest is generally exempt from tax in India and the deposit is repatriable.
- Commonly used to hold a foreign-currency contingency reserve or short-term surplus.

***A simple way to remember it: foreign money → NRE. Indian money → NRO.
Foreign-currency deposits → FCNR.***

Common banking oversights

- Continuing to operate a resident savings account after moving to the Gulf — this is a FEMA compliance issue.
- Routing Indian rental income into an NRE account — it generally belongs in an NRO account.
- Letting KYC, FATCA and CRS declarations lapse, which can lead to frozen accounts and stuck transactions.

Mutual Funds for NRIs — The Basics

Mutual funds are professionally managed pools of money that invest across listed equity, debt instruments or both. In India, they are regulated by the Securities and Exchange Board of India (SEBI). For many NRIs in the Gulf and the wider MEA region, mutual funds are one of the more accessible ways to participate in Indian capital markets without selecting individual securities.

Why NRIs in the Gulf may consider mutual funds

Several features make mutual funds practically useful for someone living in the Gulf or wider MEA region:

- **Access from abroad.** Investments can be set up and managed online from your country of residence, without travelling to India.
- **Diversification by design.** A single fund holds many securities, spreading risk in a way that buying individual stocks generally does not.
- **Professional management and disclosure.** Funds are managed by SEBI-registered asset management companies, with disclosed objectives, periodic reporting and a defined regulatory framework.
- **Daily liquidity for open-ended schemes.** Open-ended funds typically allow redemption on any business day, with proceeds in your registered account within the standard settlement window.
- **Repatriability when routed correctly.** Investments made via an NRE account are generally repatriable, which matters if you may eventually move money back out of India or return home.
- **A range of risk levels.** Categories run from low-volatility short-duration and liquid funds at one end to higher-volatility equity-oriented funds at the other, so different risk profiles can be matched to suitable categories.

How mutual funds can fit into an NRI's financial life

For an NRI working in the Gulf, common reasons to maintain an Indian mutual fund portfolio include:

- Long-term wealth-building in INR for an eventual return to India or retirement there.
- Saving for children's higher education, marriage or other long-horizon goals.
- Providing financial support for parents and family in India.

- Building disciplined exposure to Indian capital markets through Systematic Investment Plans (SIPs) over many years.

None of these are exclusive to mutual funds — the point is that they offer a structured, regulated and accessible way to deploy savings into Indian markets.

How taxation works in broad terms

For NRIs, taxation of mutual funds in India depends on the type of fund (equity-oriented or debt-oriented), the holding period and the date of investment. A few important points:

- Capital gains on redemption are taxed in India under the rules in force for that fund category.
- For NRIs, mutual funds typically deduct **TDS at source on capital gains at the time of redemption**, unlike resident investors who self-assess.
- Where India has a Double Taxation Avoidance Agreement (DTAA) with your country of residence — which it does with the UAE, Saudi Arabia, Qatar, Oman, Kuwait, Bahrain and many other MEA jurisdictions — you may be able to claim relief or recover excess TDS through your Indian tax return, subject to producing a valid Tax Residency Certificate (TRC) and Form 10F.
- If you live in a zero-personal-income-tax jurisdiction (such as the UAE under the current personal-tax framework), DTAA is mainly used to ensure proper categorisation and to recover excess TDS, rather than to offset tax payable in the country of residence (because there typically is none).

Risk profiling comes first. There is no “correct” mutual fund combination for every NRI. Your appropriate mix depends on a proper risk-profiling conversation that considers your goals, time horizons, income stability, family situation and tolerance for short-term losses. This guide does not suggest any allocation, fund category or scheme — that conversation must happen between you and a SEBI-registered investment adviser.

A consistent, well-profiled approach is more useful than a clever-sounding one.

Mutual Funds — Process, Repatriability & Taxation

How the set-up usually works for an NRI

1. Open NRE and/or NRO bank accounts in India.
2. Complete KYC with PAN, passport, overseas address proof, visa and the relevant FATCA / CRS declarations.
3. Decide the investment basis for each folio — repatriable (via NRE) or non-repatriable (via NRO).
4. Invest in direct plans yourself, or through an AMFI-registered Mutual Fund Distributor or a SEBI-registered investment adviser.

Repatriable vs non-repatriable folios

When you invest from an NRE account, the folio is generally marked repatriable — proceeds can move back out of India subject to the rules in force. When you invest from an NRO account, the folio is generally non-repatriable beyond the RBI-notified annual limit. Many long-term NRIs keep most of their mutual fund holdings in repatriable NRE folios and use NRO folios for reinvesting Indian-sourced income such as rent or dividends.

Taxation at redemption

Mutual funds in India apply TDS for NRIs at the time of redemption, based on the type of fund and the holding period. Where excess TDS has been deducted relative to your actual liability, the typical remedy is to file an Indian tax return and, where applicable, claim relief under the DTAA with your country of residence.

Specific rates, holding-period thresholds, surcharge and cess change from time to time and are therefore not stated here. Confirm the current position with a qualified Chartered Accountant before transacting.

SIPs — what they are and what they aren't

A Systematic Investment Plan invests a fixed amount at regular intervals, so you buy more units when prices are lower and fewer when prices are higher. A SIP *does not* assure a profit, protect against loss or guarantee any return. What it does do is remove the pressure of trying to time the

market and make it easier to stay invested through ups and downs — both useful for an NRI investing from many miles away.

Review, rather than react

A common practice is to review your portfolio periodically and rebalance it towards the structure you arrived at after your risk-profiling exercise, rather than reacting to short-term market moves. Frequent switching can trigger taxes, exit loads and timing errors, all of which can quietly reduce outcomes.

Standard disclosure. Mutual Fund investments are subject to market risks. Read all scheme related documents carefully before investing. Past performance is not indicative of future returns.

Direct Equity: Stocks via the PIS Route

Direct equity means owning shares of listed Indian companies in your own name. It is a different route to Indian markets than mutual funds — you select the companies yourself, you bear the concentrated risk and benefit of those specific holdings, and you manage the process actively.

How NRIs can invest in Indian stocks

- Open a Portfolio Investment Scheme (PIS) account with an authorised dealer bank, linked to your NRE or NRO account where required.
- Open a demat account and a trading account with a SEBI-registered broker that supports NRIs.
- Trade on a delivery basis — intraday trading and equity derivatives are generally not permitted for NRIs.
- Stay within the sector-level and company-level investment limits applicable to NRIs.

Why some NRIs consider direct equity

- The option to hold a focused set of Indian businesses you understand well.
- Repatriability when structured through the NRE-PIS route.
- A direct economic link to specific companies, sectors or long-term themes.

How it can help an NRI — and where it does not

Direct equity can support long-term wealth creation in INR for NRIs who genuinely have the time, temperament and information edge to research individual companies. It is generally not well suited to time-constrained professionals, those without a clear process for entry, monitoring and exit, or those tempted to trade frequently from time-zones far from Indian market hours.

Taxation for NRIs — in broad terms

- Gains on listed equity are taxed in India on a short-term or long-term basis, depending on the holding period.
- TDS may apply on certain transactions and on capital gains for NRIs.
- DTAA with your country of residence may affect the net outcome, subject to producing a valid TRC and Form 10F.

Rates and thresholds are subject to change and are not stated here. Confirm the current position with a qualified Chartered Accountant.

Things to keep in mind

- Concentration can amplify both gains and losses; the deciding factor is the depth and discipline of your own research.
- This guide does not recommend any stocks, sectors or strategies. What fits in your overall plan, and in what proportion, must come from a risk-profiling conversation with a qualified professional.

Direct equity rewards research and patience. It punishes the absence of either.

Real Estate: A Considered View for NRIs

Real estate is often the most emotionally weighted asset class for NRIs in the Gulf. Property in your home town, in a city you might return to, or as a long-term family asset can feel both meaningful and concrete. Before any commitment, it helps to look at it with the same scrutiny you would apply to any other large decision.

What NRIs can and cannot buy

- **Generally allowed:** residential and commercial property in India.
- **Generally not allowed:** agricultural land, plantation property and farmhouses (unless inherited or received as a gift), subject to the rules in force.
- **Funding:** from NRE / NRO / FCNR accounts, or via home loans from Indian lenders, subject to eligibility.

Why some NRIs hold Indian property

- It is familiar — many investors understand property markets better than capital markets.
- It is a tangible asset that can be used by family or kept for an eventual return.
- It can offer a sense of long-term anchoring in India.

Looking at the economics honestly

Net rental yields on Indian residential property have historically tended to be modest once property tax, society maintenance, vacancy periods and tax on rent are accounted for. Price appreciation has varied considerably by city and micro-market and is not assured. Property is also relatively illiquid — it cannot be sold quickly or in part. None of this makes property a poor choice; it simply means a second or third home bought purely for return deserves the same honest comparison you would give to any other route.

Taxation for NRIs — in broad terms

- **Purchase:** TDS applies on property purchases above the notified threshold; the buyer is generally responsible for deducting it.
- **Rental income:** taxable in India; TDS often applies at source, and rental income generally must be routed to an NRO account.

- **Sale:** capital gains tax applies based on the holding period and the rules in force; DTAA relief may apply, subject to the prescribed documentation.

Rates and thresholds change from time to time and are not stated here. Confirm the current position with a qualified Chartered Accountant.

Things to keep in mind

- Prefer RERA-registered projects from developers with a track record of delivery.
- Have title due diligence done by an independent lawyer — not one introduced by the seller.
- Put a carefully drafted Power of Attorney in place for management while you are abroad.
- Plan for repatriability of sale proceeds from the outset, not after the sale.

It can help to separate the decision to own a home from the question of where to invest.

Fixed Income: FCNR, NRE FDs, Bonds & SGBs

Fixed income broadly refers to instruments that pay a defined return over a defined period — deposits, bonds and similar. For an NRI, fixed-income options generally play a stabilising role in the overall financial picture: predictable cash flow, lower short-term volatility, and a cushion when market-linked assets are noisy. Fixed-income instruments still carry risks, including interest-rate, credit and reinvestment risk.

Instruments NRIs can typically use

Instrument	Nature	Tax in India (general)	Repatriability
NRE Fixed Deposit	Rupee fixed deposit funded from NRE account	Interest generally exempt	Generally repatriable
FCNR(B) Deposit	Foreign-currency fixed deposit (e.g. USD)	Interest generally exempt	Generally repatriable
NRO Fixed Deposit	Rupee fixed deposit funded from NRO account	Interest taxable; TDS applies	Within RBI annual limit
Sovereign Gold Bond (SGB)	Government security linked to gold	Specific rules apply to interest and redemption	Conditional
G-Secs / SDLs	Government securities	Interest generally taxable	Conditional

Availability of certain instruments to NRIs, their tenures, and their tax treatment, depend on the rules in force and can change. Verify the current position before investing.

Why fixed income matters for NRIs in the Gulf

- It helps create predictable INR cash flow for family support, EMIs or routine outflows in India.
- FCNR-style deposits help an NRI avoid rupee exchange-rate movement on the deposit amount itself.
- It can hold a contingency reserve covering several months of expected outflows.
- It pairs naturally with market-linked products to balance overall portfolio volatility.

How it is broadly taxed

NRE and FCNR interest is generally exempt from tax in India under current rules. NRO interest is taxable in India, with TDS at the applicable rate. SGB interest is taxable, while specific rules apply at redemption. Capital gains on tradable instruments such as G-Secs or SGBs sold before maturity follow their own rules.

Suitability depends on the conversation, not the table. Which mix of these instruments suits you depends on your liquidity needs, the role of fixed income in your overall plan, your tax situation in your country of residence and your overall risk profile. This guide does not suggest any allocation between deposits, bonds and other categories.

Fixed income is about stability and predictability, not about chasing the highest available yield.

GIFT City & IFSC: A Gulf-Friendly Gateway

GIFT City — Gujarat International Finance Tec-City — houses India's first International Financial Services Centre (IFSC). It is regulated by the International Financial Services Centres Authority (IFSCA) and is designed to function as a global financial hub on Indian soil. For NRIs in the Gulf, the IFSC is particularly relevant because it offers regulated access to both Indian and global investments, often denominated in foreign currency.

Why GIFT City matters for NRIs in the Gulf and MEA

- **Foreign-currency denomination.** Many products are offered in USD and other major currencies, so an NRI earning in AED, SAR, QAR, OMR, KWD or BHD can invest without first converting to INR.
- **A single regulated gateway.** Through IFSC entities, an NRI can access India-focused exposure as well as certain global investments under one regulatory framework.
- **Simplified onboarding.** Account opening with IFSC banking units and fund platforms is generally designed with non-resident investors in mind.

What NRIs can typically access

- **Banking & deposits:** foreign-currency deposits through IFSC Banking Units (IBUs), across major currencies and a range of tenures.
- **Funds:** schemes set up in the IFSC, including feeder structures that channel into India-focused strategies — giving Indian-market exposure within the IFSC framework.
- **AIFs & PMS:** alternative funds and portfolio management offerings established in the IFSC, generally aimed at larger investors.
- **Global investments:** access to certain overseas securities and instruments through IFSC intermediaries.

How GIFT City is broadly taxed

The IFSC framework offers certain tax efficiencies and concessional treatment for specified incomes and entities, and minimum investment sizes for some products have been reduced over time, widening access. However, these benefits are **subject to conditions and to the rules in force**, and the regime is still evolving. The exact treatment in your hands also depends on your country of residence and any applicable tax treaty.

Before using the GIFT City route. Check the current IFSCA rules, the specific product's offer documents, the currency it is denominated in, and how it will be taxed both in India and in your country of residence. Because this area is changing quickly, professional guidance is especially worthwhile here.

GIFT City is best understood as a newer, regulated gateway — not a shortcut, and not a substitute for due diligence.

PMS & AIF — Understanding the HNI Toolkit

Once an investor's investible surplus is large enough, Portfolio Management Services (PMS) and Alternative Investment Funds (AIFs) become available. They are not inherently better or worse than mutual funds — they are structured differently, carry different risks and costs, and suit different situations.

Portfolio Management Services (PMS) — what it is

- Subject to a regulatory minimum investment size set by SEBI.
- You directly own the underlying securities in your own demat account.
- Typically more concentrated and more expensive than mutual funds, with the option for customisation.
- Each transaction can have tax implications — the tax profile differs from that of mutual funds.

Alternative Investment Funds (AIF) — what they are

- **Category I:** venture capital, social-impact and infrastructure-oriented funds.
- **Category II:** private equity, private credit and similar strategies.
- **Category III:** funds using more complex or hedging strategies.
- Subject to a higher regulatory minimum investment size, with lock-ins and more complex taxation.

Why some HNI NRIs consider PMS or AIF

- A different style of exposure to Indian markets, with concentrated or specialist strategies.
- Direct ownership of securities (in PMS) and more granular reporting.
- Access to private-market opportunities (in AIF) that are not available through mutual funds.

How they are broadly taxed

For PMS, you are generally taxed on every transaction at the rates applicable to that asset and holding period; the tax profile is similar to holding the underlying securities directly. AIF taxation depends on the category and structure of the fund and can be complex; investors should look at the specific scheme's placement memorandum.

Both PMS and AIFs generally involve higher minimums, higher costs, lower liquidity and, in many cases, higher risk than mainstream mutual funds. They are not suitable for every investor, and suitability must come from a proper risk-profiling conversation.

PMS and AIFs are tools for specific situations. They are not upgrades to mutual funds.

Insurance: Term, Health & Protection

Insurance is the protection layer of a financial plan. Many NRIs in the Gulf carry employer health cover and assume it is sufficient. Often it is not — especially when family is based in India, when the employer cover ends with the employment, or when the move back home is on the horizon.

Term insurance — why it matters

- If you have dependents in India or elsewhere, an Indian-rupee term policy sized to your family's long-term financial obligations is worth evaluating.
- Indian term insurance is generally available to NRIs from the Gulf and MEA region, subject to underwriting.
- Disclose your NRI status, country of residence and occupation accurately — non-disclosure can make a claim contestable.
- Compare cover, claim-settlement record and policy terms, not just premium.

Health insurance — where it fits

- Employer cover in the Gulf typically protects you while employed — it does not always continue if you change jobs or return to India.
- A separate Indian health policy for parents and family members residing in India is commonly considered.
- Some NRIs also evaluate a personal Indian policy that applies during their visits to India.

Approach investment-linked insurance with care

Products that bundle insurance with investment can carry higher costs and long lock-in periods, and the protection and investment elements are often better understood — and frequently better served — separately. Read the benefit illustration and the policy document carefully, and ask specifically about charges, lock-ins and surrender terms.

Taxation for NRIs — in broad terms

Premiums on Indian life and health insurance may, subject to the rules in force, be eligible for deduction in your Indian tax return where you have taxable Indian income; specific eligibility and conditions vary. Maturity proceeds and claims have their own tax treatment based on the policy type. Confirm the current position with a qualified professional.

Insurance is a protection tool, not an investment. Its job is to protect a plan, not to grow it.

Insurance is the subject matter of solicitation. Insurance products are offered and serviced by licensed insurers and licensed intermediaries; please refer to the relevant policy documents for full terms, conditions and exclusions.

Taxation for NRIs: DTAA, TDS & Capital Gains

Taxation is where many NRIs lose clarity. A working understanding of the rules — and of the Double Taxation Avoidance Agreement (DTAA) between India and your country of residence — helps you plan better and avoid surprises. Tax rules change frequently; treat the points below as orientation, not as current rates.

Capital gains on Indian investments — general structure

Asset type	How gains are generally categorised
Listed equity / equity mutual funds	Short-term vs long-term based on a holding-period threshold; different rates apply, with a long-term exemption threshold.
Debt mutual funds	Taxation depends on the date of investment and the rules applicable to that category.
Unlisted shares	Short-term vs long-term based on a longer holding-period threshold.
Immovable property	Short-term vs long-term based on a holding-period threshold; TDS also applies on sale.
Sovereign Gold Bonds	Specific rules apply to interest and to redemption.

Rates, thresholds, surcharge and cess change from time to time and are not stated here. Confirm the current position with a qualified Chartered Accountant.

DTAA — the most important tool an NRI can use

India has Double Taxation Avoidance Agreements with the UAE, Saudi Arabia, Qatar, Oman, Kuwait, Bahrain and many other countries across the Middle East and MEA region. Where tax is deducted in India on capital gains, interest or other income, you may be able to claim relief or credit against tax payable in your country of residence, depending on the specific treaty.

Why DTAA matters specifically for Gulf NRIs

The Gulf states largely do not levy personal income tax on salaried individuals under the current framework. For an NRI living in such a jurisdiction, the practical use of DTAA is typically to:

- Establish your country of tax residence so the correct DTAA applies to you.
- Ensure proper categorisation of Indian income (capital gains, interest, dividends, etc.).
- Recover excess TDS that has been withheld in India, through your Indian tax return.

Because there is generally no personal income tax in your country of residence to *offset*, the DTAA is mostly used to ensure that you do not pay more than the correct amount of Indian tax in the first place.

What you typically need

- A valid **Tax Residency Certificate (TRC)** from the tax authority in your country of residence (in the UAE, the Federal Tax Authority issues these to qualifying applicants).
- **Form 10F**, filed online in India where required.
- A PAN, and KYC details that match your country-of-residence status.

Filing returns

- You may need to file an Indian return if your Indian-source income crosses the applicable threshold, or to claim a refund of excess TDS.
- Maintain records: contract notes, NRE / NRO statements, TDS certificates, the annual tax statement, and your TRC.
- Consider working with a Chartered Accountant who regularly handles NRI taxation, particularly for Gulf and MEA clients.

Tax is rarely the most exciting topic in an NRI's life. It is also rarely the cheapest one to neglect.

Repatriation: Moving Money Out Cleanly

Building assets in India is one part of the picture. Being able to move money out smoothly — back to your account in Dubai, Riyadh, Doha or elsewhere — is the other. It is worth planning for repatriation from the start, not at the end.

The two broad channels

- **NRE route** — funds here are generally freely repatriable, subject to bank verification.
- **NRO route** — repatriation is permitted up to the RBI-notified annual limit, on submission of the prescribed forms, including a Chartered Accountant's certificate where required.

Practical points

- Where possible, route foreign-currency inflows from the Gulf through NRE so future repatriation is simpler.
- For larger proceeds — for example, from inherited assets or a property sale — plan the timing across financial years, keeping the annual limit in mind.
- Avoid leaving large idle balances in NRO; align them with your plan or remit them in line with the rules.
- Exchange rates move; a planned, unhurried transfer generally gives you more control than a last-minute one.

Repatriability is far easier to plan for before you invest than to arrange afterwards.

Estate Planning, Wills & Succession

Estate planning is one of the most overlooked parts of an NRI's financial life. For Gulf-based NRIs, the picture is often particularly complex — assets, accounts and family members can sit across India, your country of residence, and sometimes a third jurisdiction. The cost of leaving this unaddressed — in time, expense and stress for the family — can be significant.

The essentials

1. Put a Will in place covering your Indian assets. A separate Indian Will, alongside one in your country of residence, can considerably simplify the process for your family.
2. Add nominees to every bank account, demat account, mutual fund folio and insurance policy. A nominee generally acts as a custodian; the Will governs who ultimately inherits.
3. Maintain a single, secure record — physical or encrypted — listing your Indian assets, account details and the professionals who support them.
4. Where the estate is large or the family situation is complex, a structure such as a private trust is sometimes evaluated. This is a specialist area — take qualified legal advice.

A succession plan is a gift to the people you leave it to. Its absence is the opposite.

Revisit it periodically

Review your estate plan after major life events — marriage, a child, buying or selling a significant asset, or a change in your country of residence. An outdated Will can create as many problems as no Will.

Common Mistakes NRIs Make

These are patterns commonly seen among NRIs in the Gulf and MEA region. They are shared here as general awareness points, not as advice on your specific situation.

1. Continuing to operate an old resident savings account after moving to the Gulf, instead of redesignating it — a FEMA compliance issue.
2. Treating a second or third home in India purely as an investment without comparing it honestly against more liquid alternatives.
3. Buying bundled investment-linked insurance products without fully understanding the costs and lock-in periods.
4. Leaving large balances idle in low-yield accounts when the money could be aligned with a plan.
5. Skipping the DTAA filing and ending up with excess TDS that is never reclaimed.
6. Trading actively in Indian markets from abroad without the time, information or temperament it demands.
7. Overlooking term and health insurance for dependents in India.
8. Letting KYC, FATCA and CRS details lapse — which can freeze accounts and stall transactions at the worst possible time.
9. Postponing the Will and nominee updates indefinitely, especially after a move or a major family event.
10. Acting on social-media tips rather than a personalised, risk-profiled plan.

Many financial setbacks come not from markets, but from paperwork and decisions left undone.

A 90-Day NRI Awareness Checklist

This is an educational checklist of *things to understand, organise and discuss* — not a set of instructions to invest in anything. Use it as a prompt for your own research and for conversations with qualified professionals.

Days 1–30 — Get your foundations clear

- Confirm your FEMA and tax residency status, in writing, with a qualified tax advisor.
- Redesignate resident accounts and understand how NRE, NRO and FCNR accounts differ.
- Refresh PAN, passport, visa and overseas address proof across your institutions.
- Complete or update KYC, FATCA and CRS declarations.

Days 31–60 — Build your understanding

- Write down your goals, your time horizons and the level of short-term loss you can genuinely tolerate.
- Get a proper **risk profile** done before considering any specific product or scheme.
- Learn how the routes in this guide work, and which are even available to you given your country of residence.
- Review your protection: assess whether term and health cover for your family is adequate.

Days 61–90 — Get advice and organise

- Discuss your situation with a SEBI-registered investment adviser and a qualified Chartered Accountant.
- If you have or are considering Indian property, get title, RERA status and tax position reviewed.
- Get your Indian Will drafted and update nominees across accounts and folios.
- Set a recurring date to review everything — a regular cadence helps more than one-off bursts of effort.

Good outcomes tend to come less from clever calls and more from consistent habits.

About Money Compound

Money Compound is an AMFI-registered Mutual Fund Distributor. We help NRIs — primarily across the UAE, the Gulf and the wider Middle East and MEA region — and resident Indians understand their options and access mutual fund investments, with a focus on clear, jargon-free financial education.

How we work

- We explain how things work, so you can make informed decisions with your own goals in view.
- We facilitate mutual fund investments in our capacity as an AMFI-registered Mutual Fund Distributor.
- We help you stay organised — documentation, KYC, periodic reviews and record-keeping.
- For matters that require it, we encourage you to work with a SEBI-registered investment adviser, a Chartered Accountant and a lawyer.

What we are not

As a Mutual Fund Distributor, we do not provide investment advice for a fee, and we do not guarantee or assure any returns. This eBook is part of our educational work — it is intended to inform, not to recommend.

Talk to us

If this guide helped you think more clearly about your finances, we would be glad to hear from you. Visit www.moneycompound.com or write to support@moneycompound.com. You can also follow [@moneycompoundwealth](https://twitter.com/moneycompoundwealth) for regular, plain-language financial education.

IMPORTANT

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Seek professional guidance. Before making any financial decision, please consult a SEBI-registered investment adviser for advice, a qualified Chartered Accountant for tax matters, and a qualified lawyer for legal and succession matters, each with reference to your specific situation.

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